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Health Care: Defensive Alternatives in a Volatile Energy Price Environment

Key Takeaways

- We view health care as a defensive sector due to several fundamental characteristics that make demand for its products and services relatively stable regardless of economic conditions and geopolitical uncertainties.
- Medical care, prescription drugs, and treatments are necessities rather than discretionary purchases – people continue to need health care when sick or managing chronic conditions, whether the economy is strong or weak.
- As a result, health care companies typically generate predictable, recurring revenues with lower correlation to GDP growth, making their stocks less volatile during economic downturns and attractive safe havens for investors seeking portfolio stability during periods of market uncertainty.
- Though we do not see a sustained higher oil price environment benefiting the sector through an acceleration of sales or profitability, we note a few areas that remain well-positioned to outperform peers via competitive advantages and more defensive business models.
- In this thematic report, we highlight our health care sub-industry recommendations along with our stock recommendations to navigate the current volatility and offer compelling long-term investment opportunities.

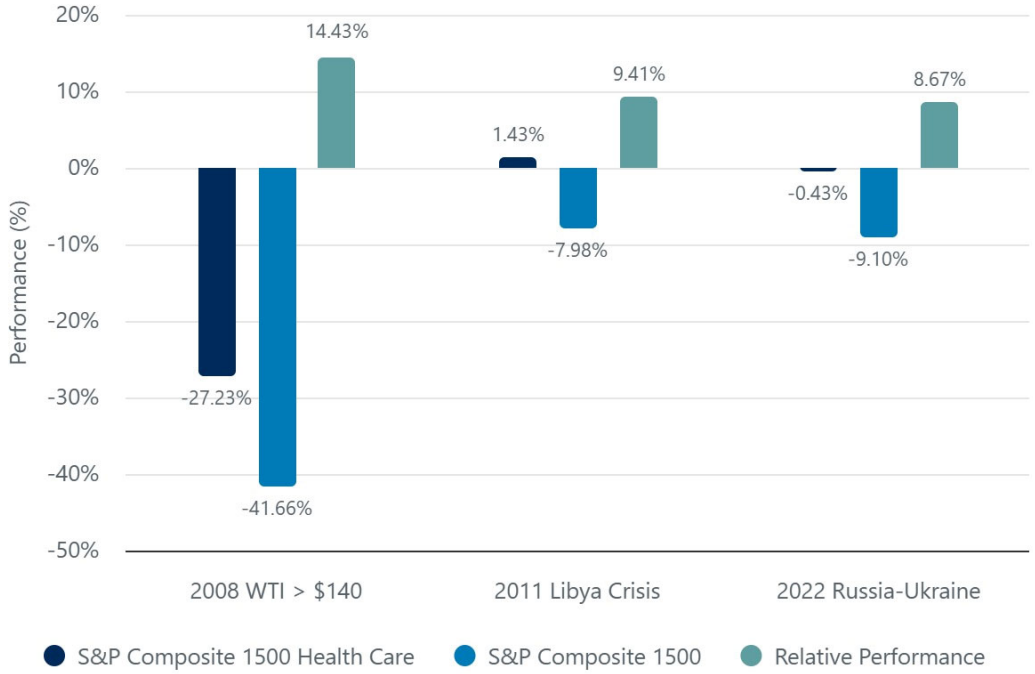
Positive (+) or Negative (-) Implications
(+) AbbVie Inc. (ABBV)
(+) Amgen Inc. (AMGN)
(+) Bristol-Myers Squibb Company (BMY)
(+) Cardinal Health Inc. (CAH)
(+) Cencora Inc. (COR)
(+) DaVita Inc. (DVA)
(+) IQVIA Holdings Inc. (IQV)
(+) McKesson Corporation (MCK)
(+) Merck & Co. Inc. (MRK)
(+) Eli Lilly and Company (LLY)

Fundamental Context

Health care is a classically defensive sector in times of economic disruption and slowdown. The sector has several fundamental characteristics that make demand for its products and services relatively stable regardless of economic conditions and geopolitical uncertainties. Medical care, prescription drugs, and treatments are necessities rather than discretionary purchases – people continue to need health care when sick or managing chronic conditions, whether the economy is strong or weak. This inelastic demand is further reinforced by insurance coverage and government health care programs (Medicare, Medicaid) that buffer consumer affordability concerns, in our view. As a result, health care companies typically generate predictable, recurring revenues with lower correlation to GDP growth, making their stocks less volatile during economic downturns and attractive safe havens for investors seeking portfolio stability during periods of market uncertainty. Therefore, we see select companies in the sector with healthy revenue streams and solid balance sheets as good investment alternatives to navigate the current market volatility, but also as compelling long-term investment opportunities.

We view a prolonged oil shock as a major risk to the economy, while the duration of the crisis is highly uncertain. Historically, we have seen examples of oil price shocks causing economic recessions and bear markets for U.S. equity indices. However, it remains unclear whether the current environment of higher energy prices will be short-lived or persist for several months. Though we do not see an elevated oil price environment benefiting the sector through an acceleration of sales or profitability, we note a few areas that could remain well-positioned to outperform peers via competitive advantages and more defensive business models.

Figure 1: Relative Performance in Prior Periods of Oil Price Shocks



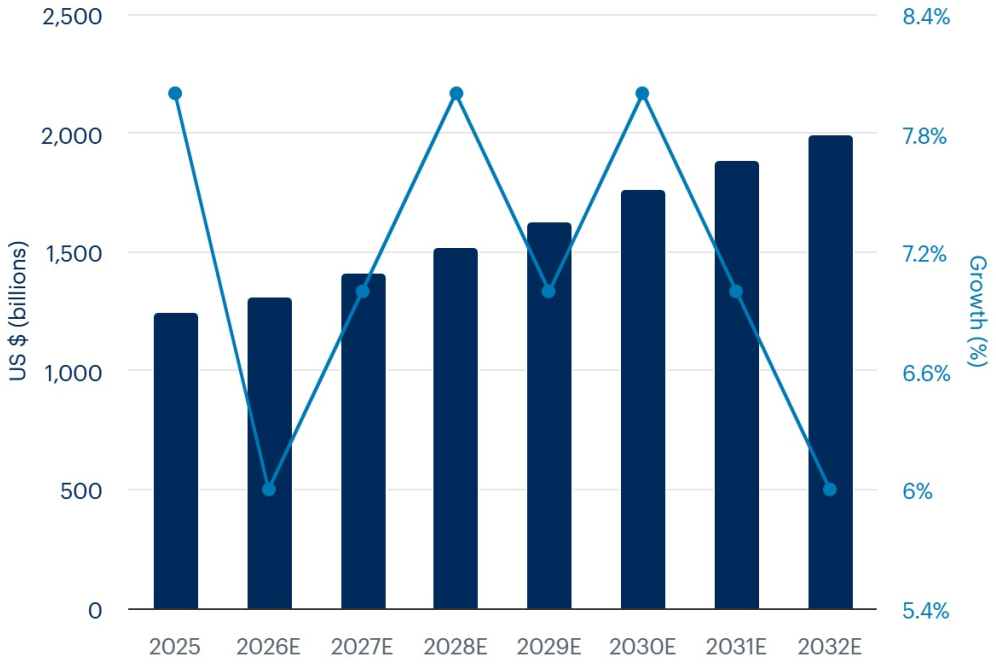
Source: CFRA, S&P Global Market Intelligence. We use approximately six-month intervals for each historical sample, specifically 06/02/2008-12/01/2008; 03/03/2011-09/01/2011; and 02/01/2022-08/01/2022.

Sub-Industry Views: Biopharma

By nature, pharmaceuticals are a defensive sub-industry, showing more resilience during economic downturns, as the need to treat illnesses does not stop. The demand for essential medicines, particularly in the fields of oncology, immunology, and mental health, will remain strong, in our view, as they are seen as necessary treatments. During recessions, the demand for essential drugs remains stable and the price elasticity of specialty drugs tends to be low. These medicines are viewed as critical for patients who depend on them to live their daily lives, a trend we expect to remain unchanged in case of a recession or market turbulence. In that sense, pharmaceutical companies that manufacture essential drugs are well-positioned during economic downturns as they have less exposure to wider economic uncertainty compared to companies in cyclical industries.

We expect strong growth in worldwide prescription drugs sales for the next five years. According to health care data provider Evaluate Pharma, worldwide prescription drug sales are expected to post a compound annual growth rate of 7.0% between 2025 and 2032 and reach nearly $2.0 trillion by 2032. Evaluate expects **Eli Lilly (LLY 1,008 *****)** and **AbbVie (ABBV 228 ****)** to be the top-two prescription drug companies by 2032.

Figure 2: Worldwide Prescription Drug Sales and Growth Rate



Source: CFRA, Evaluate.

Oncology will continue to experience significant growth in the next few years, in our view. This is driven, in our view, by the increasing number of cancer patients worldwide as a result of changing lifestyles, urbanization, and increasing life expectancies in recent decades. According to estimates from the American Cancer Society, there were 2 million new cancer cases and almost 609,820 deaths from cancer in the U.S. in 2023. By 2050, the global burden is expected to grow to over 35 million new cancer cases. Between 2024 and 2030, oncology drug sales are expected to post a CAGR of 10% and make up 21% of the total prescription and OTC drugs worldwide in 2030, according to Evaluate Pharma. Oncology therapies have generated high revenues and strong margins, a trend we expect to continue.

Moreover, we expect the trend of aging populations to continue to positively impact the demand for prescription drugs in 2026 and beyond, especially in key therapeutic areas such as immune-oncology, endocrinology, cardiology, and neurology. According to the latest U.S. census data, the 65+ age cohort is growing five times as fast as the total U.S. population. Within our U.S. Pharmaceuticals coverage, AbbVie, Amgen (AMGN 379 ****), Bristol-Myers Squibb (BMY 61 ****), Eli Lilly, and Merck & Co. (MRK 119 ****) have large exposures to these therapeutic areas in their portfolios and are expected to continue to benefit from the growing demand for key drugs in these fields.

Drug Distributors, Life Science Tools and Services, and Health Care Services

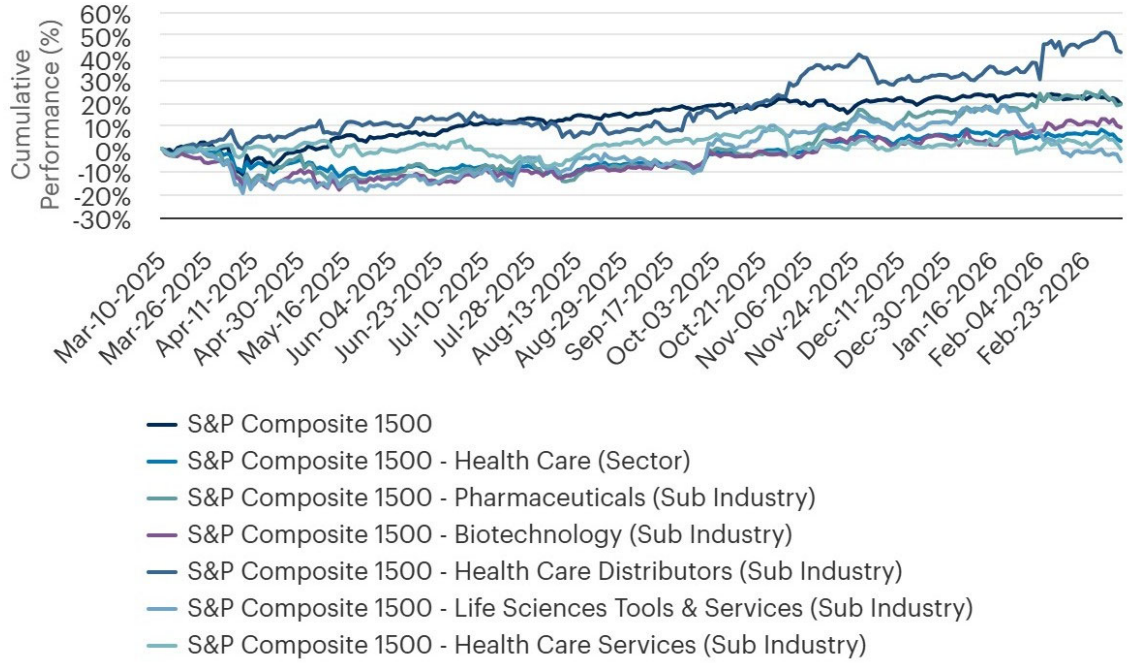
We view pharmaceutical distribution as one of the most defensive areas within the health care sector. Pharmaceuticals are an essential product with reliable demand across strong and weak economic periods. We also think aging populations in developed markets and economic growth in emerging markets will drive long-term demand for drug therapies. Barriers to entry are significant, with the "Big Three" of **McKesson (MCK 933 ****)**, **Cencora (COR 354 ****)**, and **Cardinal Health (CAH 219 ****)** estimated to control over 90% of the U.S. drug distribution market. Historically, we have seen pharmaceutical drug distributors outperform with their fee-for-service model, which supports the ability to pass through price increases and maintain margins despite inflationary environments and other economic disruption, most recently seen in the record U.S. inflationary period of 2021-2022. Relative to peers, we note that CAH maintains relatively more exposure to inflationary energy/transportation costs through its Global Medical Products and Distribution

(GMPD) segment, which represented approximately 5% of sales in the most recently completed quarter (Q2 FY 26 [Jun.]).

We see opportunities in service-based companies with less energy-intensive operations. Within our Life Science Tools and Services coverage, we feel the service-based business **IQVIA (IQV 174 ****)** may be well positioned to navigate a higher energy cost environment. The company is a contract research organization (CRO) and health care information/tech services provider that is not exposed to manufacturing or product distribution. We see near-term sales visibility from the Research & Development Solutions segment's $32.7 billion contracted backlog (on a trailing 12-month basis as of Q4 2025 earnings). We also see growing decentralized clinical trial (DCT) capabilities, which utilize virtual and telemedicine technologies, as a plus in an environment of higher transportation costs.

Essential disease treatments are likely to hold up better within a weaker economy, in our view. We consider **DaVita (DVA 153 ***)**, within our Health Care Services coverage, to be a highly defensive name providing an essential service (dialysis treatment for kidney failure) that should see healthy demand despite a higher energy cost environment or even an economic slowdown. While higher oil prices could hamper demand by increasing the cost of patient transportation to dialysis centers, we think the impact may be limited by Medicaid coverage for non-emergency medical transportation (NEMT) as well as DVA's growing home dialysis offerings.

Relative Performance



Source: S&P Global Market Intelligence, CFRA.

Implications*

Positive implications: CFRA sees an improvement in company fundamentals, which could include (but are not limited to) improved pricing, strengthening backlog, market share gains, cost improvements, a more favorable regulatory environment, or improving demographic trends, over the next 12 months.

Negative implications: CFRA sees a weakening in the company's fundamentals, which could include (but are not limited to) weaker pricing, reduced backlog visibility, market share losses, cost inflation, unfavorable regulatory climate, or demographic headwinds, over the next 12 months.

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